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International trade has become inevitable after the second world war since no country remains self sufficient in terms of all natural resources available therein. In other words no country is currently functioning independently as a closed system. Even the socialistic countries like U.S.S.R. China, etc., are now taking concrete steps to capture foreign markets for the product abundantly produced in their countries. International trade has become a part and parcel of our normal economic life of any country.

Chola and Foreign Trade

The Cholas excelled in foreign trade and maritime activity, They extended their influence overseas to China and Southeast Asia.Towards the end of the 9th century, Southern India had developed vast extensive maritime and commercial activity. The South Indian guilds played a major role in interregional and overseas trade. The best known of these were the Manigramam and Ayyavole guilds. The encouragement given by the Chola court gave impetus to the expansion of Tamil Merchant Associations such as the Ayyavole and Manigramam guilds in Southeast Asia and China. The Cholas, being in possession of ports of both the west and the east coast of peninsular India, were at the forefront of these ventures.

25.01 Nature of International Business

Countries across the world are endowed with natural resources of various kinds. But no single country uniquely possesses all natural resources required for its people. Due to varying climatic conditions prevailing across the world certain resources are abundantly available in some countries, while these resources may not exist or may not be available to the required extent in other parts of the countries. This situation paves way for international business. In other words countries with surplus resources have to exchange them with other countries for its deficit resources. For example, Gulf countries are super rich in petroleum resources but they do not have any other essential resources needed for human existence. Hence they have to exchange the surplus petroleum resources to buy other essential resources from other countries where they are available abundantly.

Similarly some advanced countries produce goods and services of good quality at affordable prices using sophisticated techniques. The developing countries and least developed countries cannot afford to produce those goods with their limited technical knowhow. In such a case international business enables these countries to buy those goods from advanced countries. This makes it necessary for international business

In short uneven distribution of natural resources across the world and specialisation attained by certain countries in the production of certain products push those countries to exchange goods and services with one another. This exchange a warrants International trade or International business.

Today we live in a world where the obstacles to the exchange of the goods and technology